



**PARLIAMENT OF THE DEMOCRATIC
SOCIALIST REPUBLIC OF
SRI LANKA**

**THURUSAVIYA FUND
ACT, No. 23 OF 2000**

[Certified on 12th July, 2000]

Printed on the Order of Government

Published as a Supplement to Part II of the **Gazette of the Democratic Socialist
Republic of Sri Lanka** of July 14, 2000

PRINTED AT THE DEPARTMENT OF GOVERNMENT PRINTING, SRI LANKA

TO BE PURCHASED AT THE GOVERNMENT PUBLICATIONS BUREAU, COLOMBO 1

Price : Rs. 10.25

Postage : Rs. 5.25

Thurusaviya Fund Act, No. 23 of 2000

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L.D. —O.51/99.

AN ACT TO PROVIDE FOR THE ESTABLISHMENT OF A FUND CALLED THE "THURUSAVIYA FUND" ; TO SPECIFY ITS OBJECTS AND POWERS ; AND TO PROVIDE FOR MATTERS CONNECTED THEREWITH OR INCIDENTAL THERETO.

BE it enacted by the Parliament of the Democratic Socialist Republic of Sri Lanka as follows :—

1. This Act may be cited as the Thurusaviya Fund Act, No. 23 of 2000. Short Title.

PART I

ESTABLISHMENT OF THE THURUSAVIYA FUND

2. (1) There shall be established a fund which shall be called the Thurusaviya Fund (hereinafter referred to as "the Fund"). Establishment of the Thurusaviya Fund.

(2) The Fund shall, by the name assigned to it by subsection (1) of this section, be a body corporate and shall have perpetual succession and a common seal and may sue and be sued in such name.

3. (1) The administration, management and control of the Fund shall be vested in a Board of Management constituted as hereinafter provided. Constitution of the Board of Management of the Fund.

(2) The Board of Management of the Fund (hereinafter referred to as "the Board") shall consist of the following members :—

(a) the Chairman of the Tea Smallholdings Development Authority established by the Tea Smallholdings Development Law, No. 35 of 1975;

(b) the Chairman of the Sri Lanka Rubber Manufacturing and Exports Corporation ;

- (c) a senior officer of the Ministry of Plantation Industries with experience in the subject of accounts, nominated by the Minister ;
- (d) the Director-General of the Rubber Development Department ;
- (e) the Chairman of the Rubber Research Board or his representative ;
- (f) two members appointed by the Minister from among persons who have had experience in the rubber industry ;
- (g) the President of every Regional Thurusaviya Society registered under this Act, namely, Colombo, Kalutara, Galle, Kegalle and Ratnapura;
- (h) the President of the Sri Lanka Federation of Rubber Smallholdings Development Societies who shall be a member of the Board notwithstanding the fact that he is also the President of a Regional Thurusaviya Society registered under this Act.

(3) The Minister shall appoint one of the members of the Board to be the Chairman of the Board.

Membership of
the Fund.

4. The following shall be entitled to Membership of the Fund —

- (a) members of Thurusaviya Societies registered under this Act, who contribute to the Fund ;
- (b) officers and servants of the Fund, who contribute to the Fund.

Meetings of the
Board.

5. Chairman of the Board shall preside at every meeting of the Board. In the absence of the Chairman from any meeting of the Board, any member elected from among the members present shall preside at such meeting.

6. The quorum for any meeting of the Board shall be six members including the members referred to in paragraphs (a), (b), (d) and (e) of subsection (2) of section 3. Quorum.
7. Subject to the provisions of section 5 and section 6 the Board may regulate the procedure in regard to the meetings of the Board, and the transaction of business at such meetings. Meetings.
8. No act or proceeding of the Board shall be deemed to be invalid by reason only of the existence of a vacancy among its members or any defect in the appointment of a member. Vacancy among members not to invalidate act or proceeding of the Board.
9. (1) Every member of the Board appointed under paragraph (f) section 3 (2) shall hold office for a period of one year from the date of his appointment, unless he is removed from, or otherwise vacates, office earlier. Term of office of members.
- (2) Every *ex-officio* member of the Board shall hold office so long as he holds the post by virtue of which he is a member of the Board.
- (3) A member of the Board appointed under paragraph (f) of section 3 (2) shall vacate office, if he is removed from office by the Minister for reasons assigned or if he resigns his office by letter addressed to the Minister.
- (4) Where any member of the Board appointed under paragraph (f) of section 3 (2) vacates office by death, resignation or removal from office, the Minister shall appoint another person to act in the place of such member, and the person so appointed shall hold office for the unexpired period of the term of office of his predecessor in office.
- (5) Any member of the Board vacating office otherwise than by removal shall be eligible for reappointment.
- (6) Where a member of the Board is temporarily unable to discharge the duties of his office on account of ill health, absence from Sri Lanka or any other cause, the Minister may appoint some other person to act as a member in his place.

Seal of the Fund.

10. (1) The Fund shall have a common seal which shall be in the custody of such person as the Board may decide from time to time.

(2) The seal of the Fund may be altered in such manner as may be determined by the Board.

(3) The seal of the Fund shall not be affixed to any instrument or document except in the presence of two members of the Board, both of whom shall sign the instrument or document in token of their presence.

(4) The Board shall maintain a register of the instruments and documents to which the seal of the Fund is affixed.

Members to disclose interest in proposed contracts to be made by the Board.

11. A member of the Board who is directly or indirectly interested in a contract proposed to be made by the Board shall disclose the nature of the interest at a meeting of the Board. The disclosure shall be recorded in the minutes of the Board, and that member shall not take part in any deliberations or decision of the Board with respect to such contract.

Remuneration of members of the Board.

12. The members of the Board shall be remunerated in such manner and at such rates as the Minister may, with the concurrence of Minister in charge of the subject of Finance, determine.

PART II

OBJECTS OF THE FUND

Objects of the Fund.

13. Objects of the Fund shall be —

- (a) to inculcate and promote the savings habit in, and uplift the economic and social status of, rubber smallholders ;
- (b) to promote necessary investments related to the rubber industry ;

- (c) to acquire, develop or establish, rubber processing units, rubber factories and other facilities required for the manufacture of the produce of such rubber smallholdings ;
- (d) to promote and develop the marketing of the produce of such rubber processing units or factories ;
- (e) to register and regulate Rubber Smallholdings Development Societies (in this Act hereinafter referred to as “Thurusaviya Societies”) and to provide assistance to the members of such societies registered with the Fund ;
- (f) to take such measures as may be necessary for the improvement and well being of those engaged in the production of rubber in smallholdings.

14. (1) The Board shall in the name of the Fund have the power to take all measures necessary for, or conducive or incidental to, carrying out of the objects of the Fund.

Powers of the Board.

(2) Without prejudice to the generality of the powers conferred by subsection (1) the Board shall have the following powers :—

- (a) to acquire in any manner whatsoever and to hold, take or give on lease or hire, mortgage, pledge, sell or otherwise dispose of, any movable or immovable property ;
- (b) to enter into and perform or carry out, whether directly or indirectly through any officer or agent authorised in writing in that behalf by the Board, all such contracts or agreements as are necessary for carrying out of the objects of the Fund ;

- (c) to construct, manufacture, maintain and repair, anything necessary for the carrying out of the objects of the Fund ;
- (d) to purchase, transport, store, supply and maintain, any commodity, equipment or machinery necessary for the carrying out of the objects of the Fund;
- (e) to appoint, employ, remunerate and exercise disciplinary control over, such officers and agents as may be necessary for carrying out of the objects of the Fund ;
- (f) to establish and maintain pension or provident fund schemes for the benefit of rubber smallholders and to insure members of the Fund, against any risks;
- (g) to train members, officers and servants of the Fund;
- (h) to establish and maintain welfare and recreational facilities, hostels and other like accommodation for the officers and servants of the Fund ;
- (i) to open, operate and close bank accounts and to borrow or raise money with the property of the Fund as security or without security, for carrying out the objects of the Fund ;
- (j) to levy fees or other charges for services performed, or facilities or equipment provided, by the Fund ;
- (k) to provide assistance, including financial assistance by way of loans or grants to any Thirusaviya Society registered under this Act or to any person or body of persons engaged in the cultivation of rubber in smallholdings or in the processing, manufacturing or marketing of rubber ;

- (l) to manage or participate in the management of, rubber lands, processing units, and rubber factories and to participate in the marketing of rubber or in any other venture related to the rubber industry ;
- (m) to invest such of the moneys of the Fund as are not immediately required for its purposes, in such securities as the Board may consider fit and to transfer or sell such securities ;
- (n) to issue shares of the Fund to its members ;
- (o) subject to the provisions of this Act, to make regulations in respect of the administration of the affairs of the Fund, financial procedure, the registration of Thurusaviya Societies, applications for registration, the conditions and restrictions subject to which such societies shall be registered, appeals against refusal of registration, provisions to be included in the by-laws of the societies applying for registration (including provisions as to qualifications for membership of the Executive Committee of a society, the register of members of the society, declaration of profits of the society, meetings of the society and of the Executive Committee thereof, audit and accounts of the society, settlement of disputes between the society and a member of the society by arbitration, grounds for cancellation of registration and appeals from orders of cancellation, liquidation after cancellation of registration, powers of a liquidator and enforcement of orders made by liquidators) ;
- (p) (i) to require any person to maintain true and accurate records, in such form and containing such particulars as may be specified by the Board, relating to any matter as may be necessary for the carrying out of the objects of the Fund or the exercise of the powers of the Board ;

- (ii) to require any person to furnish, within a specified period of time, all such returns, information and explanations as are within the knowledge of that person relating to any matter as may be necessary for the carrying out or the objects of the Fund or the exercise of the powers of the Board ;
- (iii) to require any person to produce, or cause to be produced, before a specified date such documentary or other evidence as the Board may require for the purpose of verifying any facts entered in any record maintained under sub-paragraph (i) or stated in any return, information or explanation furnished under sub-paragraph (ii) ;
- (iv) to enter and inspect, at any reasonable time, any land, building, office, store, factory, shed or premises for the purpose of examining and verifying any records required to be maintained under sub-paragraph (i) or for the purpose of verifying any particulars contained in any return or information or explanation furnished to the Board under sub-paragraph (ii) or (iii) or for the purpose of inspecting and checking stocks.

(3) Any person who fails, without reasonable cause, to comply with the provisions of sub-paragraph (i) or sub-paragraph (ii) or sub-paragraph (iii) of paragraph (p) of subsection (2), or who knowingly maintains any false records or knowingly furnishes any false returns, information, explanations, or documentary or other evidence, or who obstructs the Board in the exercise of the powers conferred on it by sub-paragraph (iv) of paragraph (p) of subsection (2), shall be guilty of an offence under this Act.

PART III

THURUSAVIYA SOCIETIES

15. The following persons shall be eligible to obtain membership of a Thurusaviya Society registered under this Act—

Membership of Societies.

- (a) rubber smallholders who are not less than eighteen years of age and who own rubber lands within the proposed area of operations of such society ; and
- (b) rubber smallholders who are issued permits for new planting within that area.

16. The objects of every Thurusaviya Society registered under this Act shall be—

Objects of the Societies.

- (a) to create and foster understanding among its members and to act in cooperation to obtain maximum benefits for their produce ;
- (b) to inculcate and promote the savings habit in, and uplift the economic and social status of, its members;
- (c) to promote necessary investments related to the rubber industry ;
- (d) to acquire, develop or establish, rubber processing units, rubber factories and other facilities required for the manufacture of the produce of its members ;
- (e) to provide financial and other assistance to its members ;
- (f) to stimulate the production of value added rubber based products ;
- (g) to promote and develop the marketing of the produce of such rubber processing units or factories ;
- (h) to take such measures as may be necessary for the improvement and well being of its members.

Registration of
Societies.

17. (1) A Thurusaviya Society may apply to the Board for registration under this Act, in the manner prescribed by regulations together with the fee prescribed therefor.

(2) A Thurusaviya Society registered under and in accordance with regulations made under this Act shall, by the name under which it is registered under this Act, be a body corporate with perpetual succession and may sue and be sued in such name.

(3) Every Thurusaviya Society registered under this Act, shall have a common seal which shall be in the custody of such person as such Society may decide.

(4) Upon registration of a Thurusaviya Society under this Act, the Board shall cause to be published in the Gazette, a notification stating that a Thurusaviya Society has been registered in the name assigned to it in the register and the date with effect from which such Thurusaviya Society has been so registered ; and upon the cancellation of the registration of a Registered Thurusaviya Society, the Board shall cause to be published in the Gazette, a Notification stating that the registration of such society has been cancelled.

PART IV

FINANCE AND STAFF

Payments into the
Fund.

18. There shall be paid into the Fund :—

- (a) all such sums of money as may be voted from time to time by Parliament for the use of the Fund ;
- (b) all such sums of money as may be received by the Fund in the exercise and performance of its powers and duties ;

Acquisition of
Assets.

19. All movable and immoveable property of the Thurusaviya Project on the date of commencement of this Act, shall vest in the Fund with effect from such date.

20. There shall be paid out of the Fund—

Payments out of
the Fund.

- (a) all such sums of money as are required to defray any expenditure incurred in the working and maintenance of the Fund ;
- (b) all such sums of money as are required to meet such payments as are approved by the Board as being necessary for the purpose of carrying out of the objects of the Fund, or as are required by this Act to be paid out of the Fund ; and
- (c) all such sums of money as are necessary to meet the liabilities of the Thurusaviya Project subsisting on the date of commencement of this Act.

21. (1) The Board shall cause proper books of accounts to be kept of the income and expenditure, assets and liabilities and other transactions of the Fund.

Accounts and
Audit.

(2) The provisions of Article 154 of the Constitution relating to the audit of the accounts of Public Corporations shall apply to the audit of the Fund.

(3) The income and expenditure account of the Fund and the balance sheet shall be signed by two members of the Board authorised to do so by a resolution passed by the Board.

22. The financial year of the Fund shall be the calendar year.

Financial year.

23. The Board shall have power subject to the direction of the Minister—

Officers of the
Fund.

- (a) to appoint such officers and servants of the Fund as may be necessary for carrying out the objects of the Fund ;
- (b) to determine the remuneration payable to the officers and servants so appointed ; and
- (c) to pay such remuneration and other expenses incurred in the administration of the affairs of the Fund out of the income of the Fund.

Appointment of
public officers to
the staff of the
Fund.

24. (1) At the request of the Board, any officer in the public service may with the consent of that officer, the Secretary to the Ministry under which that officer is employed and the Secretary to the Ministry of the Minister in charge of the subject of Public Administration, be temporarily appointed to the staff of the Fund for such period as may be determined by the Board with like consent, or with like consent, be permanently appointed to such staff.

(2) Where any officer in the public service is temporarily appointed to the staff of the Fund, the provisions of subsection (2) of section 14 of the National Transport Commission Act, No. 37 of 1991 shall, *mutatis mutandis*, apply to, and in relation to, him.

(3) Where any officer in the public service is permanently appointed to the staff of the Fund, the provisions of subsection (3) of section 14 of the National Transport Commission Act, No. 37 of 1991 shall, *mutatis mutandis*, apply to, and in relation to, him.

(4) Where the Board employs any person who has entered into a contract with the Government by which he has agreed to serve the Government for a specified period, any period of service to the Fund by that person shall be regarded as service to the Government for the purpose of discharging the obligations of such contract.

PART V

GENERAL

Delegation of
powers of the
Board.

25. (1) The Board may delegate to any member or to any officer or servant of the Fund, any of its powers.

(2) Every member or officer or servant to whom any power is delegated under subsection (1) shall exercise such power, subject to the direction and control of the Board.

26. In the exercise and performance of its powers and duties the Board shall be subject to any general or special directions given by the Minister.

The Board to be subject to direction of Minister.

27. (1) No action or prosecution shall be instituted—

Protection for action taken under this Act or and the direction of the Board.

(a) against the Board for any act which in good faith is done by the Board under this Act; or

(b) against any member or agent of the Board or any officer or servant of the Fund for any act which in good faith is done by him under this Act or on the direction of the Board.

(2) Any expense incurred by the Board in any action or prosecution brought by or against the Board before any court shall be paid by the Fund, and any costs paid to, or recovered by, the Board in any such action or prosecution shall be credited to the Fund.

(3) Any expense incurred by any such person as is referred to in paragraph (b) of subsection (1) in any action or prosecution brought against him before any court in respect of any act which is done by him under this Act or on the direction of the Board shall, if the court holds that such act was done in good faith, be paid by the Fund, unless such expense has been advanced to such person by the Fund or such expense is recovered by him in such suit or prosecution.

28. No writ against person or property shall be issued against a member of the Board in any action brought against the Board.

No writ to issue against person or property of a member of the Board.

29. Every person who commits an offence under this Act shall, on conviction after summary trial before a Magistrate, be liable to imprisonment of either description for a period not exceeding six months, or to a fine not exceeding ten thousand rupees or to both such imprisonment and fine.

Penalty.

Members of the Board and officers of the Fund deemed to be Public Servants.

30. All members of the Board and officers and servants of the Fund shall be deemed to be public servants within the meaning, and for the purposes, of the Penal Code.

The Fund deemed to be a Scheduled Institution.

31. The Fund shall be deemed to be a scheduled institution within the meaning of the Bribery Act and the provisions of that Act shall be construed accordingly.

Regulations.

32. (1) The Minister may make regulations in respect of any matter in respect of which regulations are authorised by this Act to be made.

(2) Every regulation made by the Minister shall be published in the Gazette and shall come into operation on the date of such publication or on such later date or may be specified in such regulation.

(3) Every regulation made by the Minister shall soon as convenient after its publication in the Gazette, brought before Parliament for approval. Any regulation which is not so approved, shall be deemed to be rescinded as from the date of such disapproval without prejudice to anything previously done thereunder.

(4) Notification of the date on which any regulation made by the Minister is deemed to be rescinded shall be published in the Gazette.

Sinhala text to prevail in case of inconsistency.

33. In the event of any inconsistency between Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Interpretation.

34. In this Act, unless the context otherwise requires—

“Minister” means the Minister in charge of the subject of Plantation Industries ;

“Smallholding” in relation to rubber, means an area of land which is less than fifty acres in extent and on which rubber plants are grown for the purpose of collecting latex therefrom, and the expression “smallholder” shall be construed accordingly.

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